

Sustainable Materials & Market Intelligence Briefing

****Sunday, 11 October 2026**** – prepared for Amy, KAESA (Seoul)

1. The week that regulation stopped being theoretical

Two enforcement dates landed in the last two weeks, and both of them reach Korean handbag makers directly.

The EU's EmpCo Directive – formally Directive (EU) 2024/825 – became applicable across all Member States on 27 September 2026. It has no transition period. Generic claims like "eco-friendly," "green," and even bare "sustainable" are now blacklisted unless the brand can demonstrate "recognised excellent environmental performance" – in practice an EU Ecolabel or a qualifying independent certification scheme. Carbon-neutrality claims resting on offsets are banned outright. Self-designed sustainability badges shown to shoppers are prohibited unless the scheme behind them meets seven explicit conditions. Cross-border infringements carry a floor of 4% of annual turnover, or €2 million where turnover data is unavailable.

The second date matters just as much for a Korean exporter. It is not just about how you label a bag – it is about what happens to it after the customer is done with it. The revised Waste Framework Directive, in force since October 2025, requires every EU Member State to run an extended producer responsibility (EPR) scheme for textiles and footwear, with per-item fees on producers. Schemes must be operational by April 2028. Collected textiles are now legally classified as waste and must be sorted before any shipment.

Source: <https://www.freshfields.com/en/our-thinking/blogs/sustainability/empco-goes-live-what-businesses-need-to-know-as-the-new-rules-take-effect-10203sq>
Source: <https://www.lw.com/en/insights/eu-empowering-consumers-directive-new-rules-on-green-claims-apply-from-27-september-2026>

****What this means for KAESA:**** the claim audit is the urgent job, not the 2027 one. The EU's Consumer Protection Cooperation Network agreed in June 2026 that enforcers may show proportionality for "old stock" – but product pages, sustainability pages, and digital content get far less sympathy than physical packaging, because they are cheap and fast to change. German and Austrian law also allow competitors to seek injunctions in days. If KAESA sells into the EU, an audit of every claim on every page is the highest-return task available this month.

2. Materials & Innovation

- ****Fashion for Good launches the Cotton Reloop Matrix Project**** – Announced 6 October in Amsterdam. Cross-industry initiative mapping and physically validating commercially available recycled cotton yarns against brand specifications. Mechanical recycling currently loses 45–50% of input as short fibres, which is why most commercial yarns sit at around 10% recycled content. The project will produce 10 demonstrator fabrics, 5 quality-augmentation trials, and an open-source spinning SOP. The framing is the important part: shift from ****virgin parity to fit for purpose****. (<https://www.textileworld.com/textile-world/knitting-apparel/2026/10/fashion-for-good-launches-the-cotton-reloop-matrix-project-to-unlock-commercial-scale-for-recycled-cotton/>)

- ****AAMATI – biodegradable luxury leather from Indian mango orchards**** – ~50% mango biomass with a proprietary biopolymer matrix on cotton backing, biopolymer derived from recovered cooking oils and agricultural by-products. Independently tested across twelve ISO and SATRA parameters, including abrasion beyond 35,000 Martindale cycles, heat resistance to 80°C and cold-crack at -10°C. Offers more

than 1,500 embossing prints and is already cut into handbags, footwear and watch straps. Patented in India, filed in the EU and US.
(<https://www.premierevision.com/en/articles/36087eb9-4287-f111-b337-000d3a3a1397/aamati-the-biodegradable-luxury-leather-grown-in-india-s-mango-orchards>)

- ****Rheom Materials expands into footwear-grade leather alternatives**** – Houston-based, announced 1 October. New `Shorai Dura` upper material reports up to 500,000 Bally Flex cycles and 70,000 Martindale abrasion revolutions; `Benree` resin passed SATRA testing for high-heel applications with performance comparable to ABS plastic. Caveat worth noting: Rheom did not publish numerical results for wet abrasion, colourfastness, tear propagation or tensile strength, and gave no conditions or timeframe for the home-composting claim. Promising, but ask for the full test record before specifying. (<https://wwd.com/sourcing-journal/sustainability/rheom-materials-biobased-footwear-bared-shorai-benree-1239301219/>)

- ****Parkdale takes full ownership of CiCLO biodegradable fibre technology**** – Announced 1 October. CiCLO is integrated into polyester and nylon at the fibre-manufacturing stage, creating pathways for microorganisms to mineralize the polymer in biologically active environments. Already commercial via Target, Walmart, Costco, Hanes and Stella McCartney; now expanding into nonwovens, geotextiles and filtration. Tested to ASTM and ISO methods across seawater, soil, wastewater sludge and landfill conditions. No purchase price disclosed, so commercial scale is unquantified. (<https://thefabricbrief.com/articles/parkdale-takes-full-ownership-of-ciclo-biodegradable-fiber-tech-5adda533>)

- ****Chloris strengthens verification around Claessen Blue bio-based dye**** – September 2026. The microbial-fermentation dye now carries USDA BioPreferred origin verification, chain-of-custody traceability, and ****GOTS Approved Input**** status, plus LCA data. For a brand trying to defend a colourway claim under EmpCo, "GOTS-approved bio-based dye with published LCA" survives an audit where "eco-dyed" does not.
(<https://www.textileworld.com/textile-world/2026/10/chloris-strengthens-commercial-readiness-of-claessen-blue-through-an-integrated-verification-framework/>)

3. Policy & Regulation

- ****EmpCo is live and enforcement is national**** – Applying since 27 September 2026. Germany, Italy and the Netherlands were ready on time; France and Spain had not transposed by the deadline (the Commission opened infringement proceedings against 20 Member States in May 2026); Poland set its own start date a year later. A website or catalogue reaching German customers falls under German rules regardless of where the brand sits.
(<https://greenerahead.com/blog/empcos-applies-which-countries-are-ready>)

- ****ESPR destruction ban for unsold goods – already in force**** – Since 19 July 2026, large enterprises are prohibited from destroying unsold apparel, clothing accessories and footwear. Delegated Regulation (EU) 2026/296 sets the derogations; notably the Commission ****excluded**** a "least negative environmental impact" derogation, establishing that reuse is invariably preferable to recycling or disposal. Medium-sized companies follow in 2030. Annual public disclosure of discarded volumes and reasons applies from February 2027 on a standardised format. (<https://www.hlc.com/en/publications/stop-the-destruction-of-textiles-how-compliance-changes-from-19-july-2026>)

- ****ESPR textile delegated act: durability pivots to "robustness"***** – The JRC concluded that available data and standards cannot measure apparel ageing in a way that links performance to "time-in-use" durability. The proposal is now an ****information requirement**** – a 0–10 robustness score based on visual inspection, spirality and dimensional change – rather than a binding performance

threshold. Recyclability becomes a 0–10 score where elastane above 15% (or above 20% in PA6-rich blends) sets the score to zero. Definitive detail: ****if KAESA uses elastane in linings, straps or stretch panels, those products score non-recyclable under the current proposed framework.****
(<https://economiacircolare.com/textile-ecodesign-espr-requirements/>)

- ****Recycled-content definition widened**** – The JRC revised the definition to include post-industrial, pre-consumer and post-consumer waste, and now admits secondary materials from sources other than fibre-to-fibre recycling. The Ellen MacArthur Foundation argues this is too loose and has recommended prioritising post-consumer closed-loop content with phased-in thresholds – citing The Jeans Redesign participants achieving up to 87% post-consumer recycled content at commercial scale. Expect this to move before the delegated act is finalised.
(<https://content.ellenmacarthurfoundation.org/asset/bead3bc9-2bbf-4e58-9cbb-f68e7aa1f429/ESPR-White-Paper-D-07-26.pdf>)

- ****Korea: EPR for clothing is under active review**** – A National Assembly Research Service report puts textile waste at roughly 400,000 tonnes annually with under 20% recycled, and the sector at about 10% of national industrial GHG emissions. Rep. Kim So-hee, MCEE and NARS are working on a legal definition of "textile waste" plus a phased EPR rollout – a two-year trial period, then mandatory producer-led treatment. In July 2026 MCEE and KEITI launched a five-year, ₩73 billion national R&D programme through 2030, with ₩25 billion earmarked for waste clothing – specifically AI-based automated sorting, targeting 95%+ separation accuracy.
(<https://www.ajupress.com/view/20260702120470368>) (<https://textalks.com/korea-confronts-a-fast-fashion-waste-crisis-as-lawmakers-push-for-extended-producer-responsibility/>)

- ****Korea has no textile EPR today**** – Worth stating plainly to your board: Korea applied EPR to packaging, electronics and tyres, but not yet to textiles. A Korean Journal of Life Cycle Assessment study estimates the 2023 domestic supply-to-waste conversion rate at ~36.1% and proposes phased targets: above 20% formal collection by 2027, 40% by 2028–2032, 60% from 2033. Any KAESA take-back or repair programme started now becomes a fee-modulation asset under a future Korean scheme – the same logic France's Refashion applied. (https://www.e-lca.org/archive/view_article?pid=kjlca-27-1-11)

4. Market Intelligence

- ****Textile Exchange's 2026 Materials Market Report – first end-use breakdown for bags**** – Published 22 September. For the first time the report estimates production volumes flowing specifically into bags, alongside apparel, home textiles, footwear and technical textiles. Leather production was ~14 million tonnes in 2025 (9.5Mt cattle hides). The critical finding for leather: ****most standards cover the processing stage, and only a few small supply chains maintain traceability from farm to slaughter to finished goods.**** There is no meaningful weight data on hides produced under a farm-level programme. If KAESA makes any animal-leather claim, that is the evidence gap.
(<https://textileexchange.org/knowledge-center/reports/materials-market-report-2026/>)

- ****Deforestation-Free Call to Action for Leather sets 2030/2035 targets**** – Co-led by Textile Exchange, the Leather Working Group and WWF, with new industry aggregate targets published June 2026. The cut-off date is 31 December 2020, aligned with EUDR. In the 2026 Materials Benchmark, 39% of brands have a deforestation-free commitment and 33% have made it public. Signatories must report annually. (<https://textileexchange.org/leather-call-to-action/>)

- ****Microfiber Action Alliance launched by The Nature Conservancy, 6 October**** – Founding members: Nike, Patagonia, Under Armour, lululemon, Cotopaxi and REI Co-op. Microfibers account for an estimated 30%+ of ocean microplastics. Honest

read: it is an announced intention – no targets, timelines or reported reductions yet. But it signals where brand expectations are heading, and it complements The Microfibre Consortium's science work. (<https://thefabricbrief.com/articles/nike-patagonia-and-lululemon-join-nature-conservancy-microfiber-alliance-a436a070>)

- **Primark signs first multi-year offtake with Circ for recycled polyester** – Circ's process targets polycotton blends, recovering both polyester and cellulose. Primark's Cares director framed it around durability and price: "clothes made to last longer don't have to come at a higher price." No tonnage, pricing or delivery dates disclosed, and Circ's industrial facility is still in development. The signal is that **volume commitments are replacing pilots** in textile-to-textile recycling. (<https://thefabricbrief.com/articles/primark-signs-first-multi-year-offtake-with-circ-for-recycled-polyester-952047e7>)

- **Korean luxury is strong, but polarised toward meaning over logos** – Korea's luxury retail sales ran above 20% average growth over the last six months (JP Morgan), average wealth per adult is up 44% since 2020 (UBS), and Q2 2026 consumer optimism rose to 31% from 28% (McKinsey). Department stores hold ~40% of luxury sales; foreign department-store sales are growing ~100% year-on-year. But Korean shoppers are "losing interest in logos" – less spending on what feels interchangeable, more on what feels meaningful. Euromonitor confirms personal accessories reached KRW26,897 billion in 2025 (+10%), with **sustainability** cited as a key selling point to appeal to MZ consumers, and demand for material innovation named as a growth driver. (<https://www.vogue.com/article/why-trendsetting-south-korea-remains-a-gem-for-luxury>) (<https://www.euromonitor.com.ezproxy.hs-augsburg.de/personal-accessories-in-south-korea/report>)

- **Resale keeps outperforming; handbags are the strongest category** – The secondhand fashion and luxury market is \$210-220bn today, heading to \$320-360bn by 2030, growing ~10% annually – three times faster than the primary market (BCG/Vestiaire, 7,800 consumers). Resale already accounts for **40%** of handbags in surveyed wardrobes. The RealReal's 2026 report (44 million members) shows the Gucci Jackie rising 10x in a decade, from \$294 to \$3,012, and 47% of consumers now evaluate resale value before buying new. BCG is explicit that **DPPs are the unlock** – structured data closing the authentication, condition and repair-information gaps. KAESA's DPP should be designed as a resale-value feature, not a compliance cost. (<https://www.bcg.com/publications/2025/how-fashion-luxury-brands-can-win-secondhand-market>) (<https://hauteliving.com/2026/08/the-real-real-2026-resale-report/795075/>)

5. For Your Radar

- **The DPP registry infrastructure comes online around Q3 2026** – even though no product-specific passport is mandatory yet. CEN/CENELEC have begun publishing the EN 18xxx family of DPP standards. The textile delegated act is expected in late 2026 or 2027 with a 12-24 month phase-in. Working assumption in the JRC preparatory study: data sits at **production-batch level**, not per individual item. If that holds, a small-batch luxury maker has a genuinely lighter compliance burden than a fast-fashion volume producer – but only if batch-level traceability exists. That infrastructure decision is worth making this year. (<https://www.regenstudio.world/blog/espr-textile-delegated-act/>)

- **Oxford Smith School / DIRT Charity: fashion touches nearly 30% of global farmland** – The assessment has expanded beyond crops to include animal-derived materials like wool and leather, and for the first time covers next-generation alternatives including mycelium leather. This is the number that will be quoted at you in every buyer meeting next year; better to have your own view on it first. (<https://goodonyou.eco/sustainable-fashion-news-october-2026/>)

- **Bio-based materials had a brutal year – but the survivors are**

consolidating** – Desserto in sharp decline, Piñatex in insolvency, Mylo on indefinite hiatus. Themoiré, by contrast, launched a 100% plant-based biopolymer derived from fermented potato starch for AW26/27, alongside grape-skin fibre, and is explicitly targeting Korea and Japan as its next growth region. The market is separating real supply chains from slide decks. (<https://hk.fashionnetwork.com/news/Themoire-launches-a-proprietary-environmentally-sustainable-material-targeting-the-us-and-asia,1812947.html>)

- **Korea's ₩73bn R&D programme is a supplier-development play** – Trade press reads it as a 2028–2030 play aimed squarely at European compliance demand, not as an environmental gesture. The state has identified **sorting, not chemistry, as the choke point worth public money.** If KAESA wants recycled feedstock of consistent quality in 2028, the relationships worth building are with the sorting and pre-processing players receiving that money now, not the brands competing for the output later. (<https://www.seoulz.com/korea-textile-recycling/>)

Bottom line

Three things to act on, in order:

1. **Audit every EU-facing sustainability claim this month.** EmpCo has no transition period, digital claims get the least leniency, and competitors can move in days in Germany and Austria.
2. **Check your elastane content against the recyclability score.** Above 15% sets the proposed score to zero. That is a design decision, and design decisions have long lead times.
3. **Build batch-level traceability now.** It is simultaneously the EmpCo evidence base, the ESPR DPP foundation, the resale-value feature, and the future Korean EPR fee-modulation input. One investment, four returns.

Prepared by Esther – sustainability & materials intelligence for KAESA.

All sources linked inline. Items marked as announced intentions are flagged as such; verify test records directly with suppliers before specifying.